

Example: Associated Gas and Electric Company charged against surplus in 1932 the sum of \$5,892,000 for “debt discount and expense” written off.

This practice has aroused considerable criticism in recent years both from the New York Stock Exchange and from the S.E.C. As a result of these objections a number of companies have reversed their previous charge to surplus and are again charging amortization of bond discounts annually against earnings.⁶

⁶ See the changed accounting practice of Northern States Power Company (Minnesota) following a controversy over this point in connection with the registration of a bond issue in 1984. (The total amount involved here was over \$8,000,000.) It is noteworthy, also, that *even on called bonds* companies have been required to carry forward the unamortized discount to be written off by an annual charge against earnings during the life of the refunding issue. (See the report of Columbia Gas and Electric Company for 1936, p. 17.)

Some of the bond refundings in recent years seem to have involved a surprisingly small net saving of interest when the premium paid to retire the old issue is taken into account. Perhaps an explanation of some of these operations lies in the fact that (1) the company has been able to charge both the premium paid and the balance of the original discount against surplus, thus relieving future earnings of this very real burden; and (2) both these items have been chargeable to profits subject to *income tax*, thus reducing this tax substantially and increasing the *apparent* profits for the year.